

Leverage increases exposure to systematic factor risk. Leverage accounts for a large amount of PE returns and, without taking into account leverage, asset owners overestimate the benefits of PE. Acharya et al. (2013) estimate that leverage accounts for over 50% of PE returns.

3.5. PERSISTENCE

Despite the mediocre performance of the average manager, some add value; there is large cross-sectional dispersion in PE fund returns. And those value-adding managers tend to be the same ones outperforming year after year. PE investing, therefore, is really about the cross-section rather than the average.

Since Kaplan and Schoar (2005), the academic literature has documented large persistence in PE returns. PE funds are raised in succession. If Fund ABC II raised in 2005 does well, then Fund ABC III raised in 2007 also does well. Estimates suggest that a performance increase of 1% for a fund is associated with greater performance of 0.5% for the next fund.²⁷ Moreover, persistence is so strong that even in skipping a fund, there is still significant predictability. That is, Fund ABC II raised in 2005 forecasts that Fund ABC IV raised in 2010 would do well.

Kaplan and Schoar (2005) find that funds in the “top quartile” outperform. If this performance is persistent, then this seems to be a way for smart LPs to pick winners who continue to win. Kaplan and Schoar’s findings have led PE managers all wanting to be top quartile.

Unfortunately, in the Lake Wobegon world of PE, *everyone* is top quartile.²⁸ According to the consulting firm PERACS, 77% of firms claim to be in the top 25%.²⁹ How do they do it? There is no consistent benchmarking in PE, so managers pick the measures they want. Some funds claim top quartile status on the basis of IRRs, others on multiples. Funds can also select the benchmark they want—even after the returns have been generated. Harris, Jenkinson, and Kaplan (2012) report anecdotal evidence that VE was an easier benchmark to beat, so more GPs chose to use it. Even the vintage year is open to manipulation. Is the vintage year the year a fund begins raising funds, ends fundraising, or the year its first deal is closed?

The finding that top quartile managers outperform is also an ex-post result. That is, we know there are repeat outperformers *after* all the data are examined. In reality, it is difficult to select funds using the information at hand. Suppose Fund ABC IV was raised in 2010. In 2013 when ABC V is raised, we have at most three years of data on ABC IV. We will not know if ABC IV was indeed a top performer until it is liquidated, around 2020 or even later. Thus in 2013, there is little real-time information about ABC IV on which to base a decision on whether or not

²⁷ See Kaplan and Schoar (2005), Phalippou and Gottschalg (2009), and Hochberg, Ljungqvist, and Vissing Jørgensen (2010).

²⁸ The academic version of this paragraph is Harris, Jenkinson, and Stucke (2012).

²⁹ Quoted by Phalippou (2011).